Daiwa Capital Markets Hong Kong Limited

Global PMX (4551 TT)

Target price: **TWD205.00** (from TWD205.00)

Share price (9 Nov): **TWD135.50** | Up/downside: **+51.3%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 results review: weaker-than-expected margins

- 3Q26 net profit missed our and consensus estimates by 10-11%
- Semiconductor, AI server and Others segments to support growth
- Reaffirming our Buy (1) call with unchanged 12M TP of TWD205

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What's new: We attended PMX's investor conference after the company released its 3Q26 results on 9 November 2026. We reaffirm our Buy (1) call as we see better-than-expected demand for its semiconductor, AI server and medical segments.

What's the impact: 3Q26 results missed mainly on FX loss. PMX's 3Q26 revenue of TWD2,417m (+5.9% QoQ, +24.6% YoY) beat our estimate by 8.5% and was in line with the Bloomberg consensus. Its gross margin came in at 23.9% vs. 24.6% in 2Q26 and 21.7% in 3Q25, missing our estimate (24.2%) and the consensus (25.1%), mainly due to some one-off costs ramping up at the new Vietnam plant. With higher-than-expected opex, operating profit of TWD340m (+10.0% QoQ, +54.4% YoY) missed our and the consensus estimates by 1.3% and 6.0%, respectively. With an FX loss of TWD23m, its net profit of TWD271m (+13.3% QoQ, +0.1% YoY) missed our and consensus estimates by 11.1% and 10.2%, respectively. EPS was TWD2.36 in 3Q26. PMX's 3Q26 revenue breakdown is as follows: auto sales at 49% (+13% YoY), semiconductor, AI server & other sales at 20% (+66% YoY), storage device sales at 13% (+25% YoY), medical sales at 10% (+13% YoY), and sports sales at 8% (+42% YoY). PMX also posted October 2026 monthly sales of TWD816m (+3.3% MoM and +33.8% YoY; +22.0% YoY for 10M26), which accounted for 35.6% and 31.3%, respectively, of our previous and the consensus forecasts of 4Q26 revenue.

Segment transformation continues with upbeat guidance for 4Q26 and 2027. For 2026, PMX maintained its overall 20-25% YoY revenue growth guidance with semiconductor, AI server & others segment growing by at least 100% YoY. For 2027, management expects revenue to grow by 20%+ YoY with the semiconductor, AI server & others segment to grow by 100%+ YoY; medical, by 50%+ YoY; storage device, by 10% YoY; auto, flat; and sports to decline by 5%. We revised down our 2026-28E EPS by 0.3-8.5% after factoring in its 3Q26 results.

What we recommend: We reaffirm our Buy (1) rating with an unchanged 12M TP of TWD205, now based on a target PER of 17x (from 18x; above the 15x average of its past-3-year range of 11-25x) on our 1-year forward EPS forecast. We lower the PER target slightly on its decelerating earnings momentum. Key downside risks: lower than-expected global auto, medical, and AI server component demand; worse-than-expected gross margin.

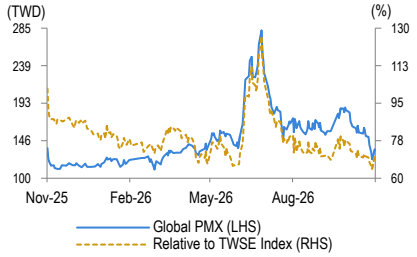
How we differ: Our 2026-27E EPS are 18-22% below the Bloomberg consensus, likely as we are more conservative about PMX's revenue and operating margins.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	3.9	4.9	4.5
Net profit change	(8.6)	(0.4)	(0.7)
Core EPS (FD) change	(8.5)	(0.3)	(0.6)

Source: Daiwa forecasts

Share price performance



12-month range	111.00-282.00
Market cap (USDbn)	0.48
3m avg daily turnover (USDm)	7.02
Shares outstanding (m)	115
Major shareholder	Cheng-Sheng Lin (22.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	9,390	10,853	12,220
Operating profit (m)	1,339	1,638	1,879
Net profit (m)	1,111	1,388	1,580
Core EPS (fully-diluted)	9.635	12.039	13.708
EPS change (%)	59.7	24.9	13.9
Daiwa vs Cons. EPS (%)	(17.8)	(21.6)	n.a.
PER (x)	14.1	11.3	9.9
Dividend yield (%)	3.6	4.5	5.1
DPS	4.8	6.0	6.9
PBR (x)	1.6	1.5	1.4
EV/EBITDA (x)	7.0	5.8	5.1
ROE (%)	12.0	13.9	14.5

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

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PMX: revenue and earnings forecasts revisions

	2026E			2027E			2028E		
(TWDm)	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	**9,390**	**9,037**	3.9%	**10,853**	**10,349**	4.9%	**12,220**	**11,698**	4.5%
Gross profit	**2,255**	**2,159**	4.4%	**2,638**	**2,509**	5.1%	**2,989**	**2,857**	4.6%
Gross-profit margin	*24.0%*	*23.9%*	0.1pp	*24.3%*	*24.2%*	0.1pp	*24.5%*	*24.4%*	0pp
Operating profit	**1,339**	**1,367**	-2.0%	**1,638**	**1,594**	2.7%	**1,879**	**1,842**	2.0%
Operating-profit margin	*14.3%*	*15.1%*	-0.9pp	*15.1%*	*15.4%*	-0.3pp	*15.4%*	*15.7%*	-0.4pp
Net profit	**1,111**	**1,215**	-8.6%	**1,388**	**1,393**	-0.4%	**1,580**	**1,592**	-0.7%
Net-profit margin	*11.8%*	*13.4%*	-1.6pp	*12.8%*	*13.5%*	-0.7pp	*12.9%*	*13.6%*	-0.7pp
EPS (TWD)	**9.63**	**10.53**	-8.5%	**12.04**	**12.07**	-0.3%	**13.71**	**13.79**	-0.6%

Source: Daiwa forecasts

PMX: 3Q26 results vs. Daiwa and Bloomberg forecasts

(TWDm)	PMX's 3Q26 results	Daiwa forecasts	Differ	Bloomberg consensus	Differ
Revenue	2,417	2,226	8.5%	2,413	0.2%
Gross profit	577	539	6.9%	605	-4.7%
Operating profit	340	344	-1.3%	362	-6.0%
Profit before tax	341	381	-10.6%	391	-12.8%
Net profit	271	305	-11.1%	302	-10.2%
Basic EPS (TWD)	2.36	2.65	-10.8%	2.62	-10.0%
Margin					
Gross margin	23.9%	24.2%	-0.4pp	25.1%	-1.2pp
Operating margin	14.1%	15.5%	-1.4pp	15.0%	-0.9pp
Pre-tax margin	14.1%	17.1%	-3pp	16.2%	-2.1pp
Net margin	11.2%	13.7%	-2.5pp	12.5%	-1.3pp

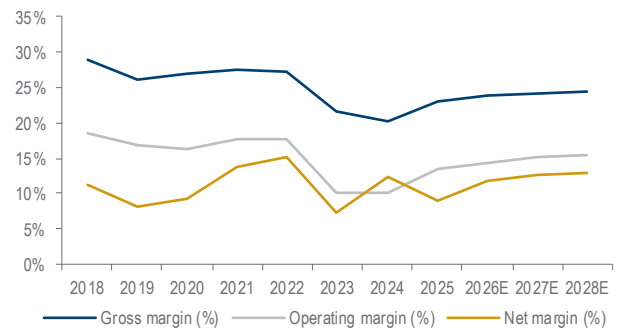
Source: Company, Bloomberg, Daiwa forecasts

PMX: quarterly P&L

	2026E				2027E				2026E	2027E	2028E
(TWDm)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	2,272	2,283	2,417	2,418	2,551	2,598	2,838	2,865	9,390	10,853	12,220
Gross profit	534	561	577	584	615	629	691	703	2,255	2,638	2,989
Operating profit	347	309	340	344	405	374	426	433	1,339	1,638	1,879
Pre-tax profit	394	301	341	363	429	398	450	457	1,398	1,735	1,975
Net profit	311	239	271	290	343	319	360	366	1,111	1,388	1,580
Basic EPS (TWD)	2.70	2.08	2.36	2.53	2.99	2.77	3.13	3.19	9.66	12.08	13.76
Margin											
Gross margin	23.5%	24.6%	23.9%	24.1%	24.1%	24.2%	24.3%	24.5%	24.0%	24.3%	24.5%
Operating margin	15.3%	13.5%	14.1%	14.2%	15.9%	14.4%	15.0%	15.1%	14.3%	15.1%	15.4%
Pre-tax margin	17.3%	13.2%	14.1%	15.0%	16.8%	15.3%	15.9%	16.0%	14.9%	16.0%	16.2%
Net margin	13.7%	10.5%	11.2%	12.0%	13.5%	12.3%	12.7%	12.8%	11.8%	12.8%	12.9%
YoY											
Revenue	13.1%	25.0%	24.6%	18.1%	12.3%	13.8%	17.5%	18.5%	20.0%	15.6%	12.6%
Gross profit	12.5%	27.8%	37.1%	22.6%	15.3%	12.1%	19.8%	20.5%	24.6%	17.0%	13.3%
Operating profit	22.1%	3.0%	54.4%	41.4%	16.7%	21.0%	25.2%	26.1%	27.9%	22.3%	14.7%
Pre-tax profit	12.6%	n.m.	-1.3%	3.2%	9.0%	32.4%	32.0%	26.1%	47.1%	24.1%	13.9%
Net profit	30.0%	n.m.	0.1%	4.7%	10.6%	33.1%	32.8%	26.1%	59.6%	24.9%	13.9%
QoQ											
Revenue	11.0%	0.5%	5.9%	0.1%	5.5%	1.8%	9.3%	1.0%			
Gross profit	12.1%	5.2%	2.8%	1.2%	5.4%	2.2%	9.8%	1.8%			
Operating profit	42.8%	-11.0%	10.0%	1.1%	17.9%	-7.7%	13.9%	1.8%			
Pre-tax profit	12.0%	-23.6%	13.4%	6.4%	18.4%	-7.3%	13.0%	1.7%			
Net profit	12.1%	-22.9%	13.3%	7.0%	18.4%	-7.3%	13.0%	1.7%			

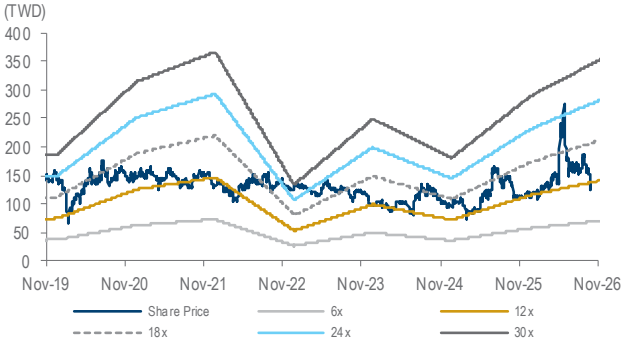
Source: Company, Daiwa forecasts

PMX: margin trend



Source: Company, Daiwa forecasts

PMX: 1-year forward PER



Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Automotive revenue YoY (%)	12.9	(4.0)	(5.7)	0.5	(5.0)	12.6	3.7	79.4
Storage device components revenue YoY (%)	47.1	(11.7)	(34.2)	60.6	(5.3)	4.9	0.0	76.3
Medical revenue YoY (%)	(1.3)	100.0	(27.5)	(22.6)	18.9	19.5	30.0	105.1

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Automotive	4,980	4,781	4,509	4,530	4,306	4,848	5,029	9,021
Storage device components	1,344	1,187	781	1,254	1,187	1,245	1,245	2,194
Other Revenue	2,490	3,267	1,832	1,907	2,331	3,297	4,580	1,005
Total Revenue	**8,814**	**9,235**	**7,122**	**7,691**	**7,823**	**9,390**	**10,853**	**12,220**
Other income	0	0	0	0	0	0	0	0
COGS	(6,380)	(6,731)	(5,574)	(6,129)	(6,013)	(7,135)	(8,215)	(9,231)
SG&A	(633)	(635)	(615)	(539)	(517)	(660)	(720)	(830)
Other op.expenses	(249)	(240)	(211)	(234)	(245)	(256)	(280)	(280)
Operating profit	**1,552**	**1,630**	**722**	**789**	**1,048**	**1,339**	**1,638**	**1,879**
Net-interest inc./(exp.)	(18)	(15)	16	65	120	97	97	97
Assoc/forex/extraord./others	35	214	(29)	379	(216)	(38)	0	0
Pre-tax profit	**1,570**	**1,829**	**709**	**1,234**	**951**	**1,398**	**1,735**	**1,975**
Tax	(367)	(424)	(194)	(278)	(254)	(287)	(347)	(395)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**1,203**	**1,405**	**516**	**955**	**696**	**1,111**	**1,388**	**1,580**
Net profit (adjusted)	**1,203**	**1,405**	**516**	**955**	**696**	**1,111**	**1,388**	**1,580**
EPS (reported)(TWD)	**10.468**	**12.197**	**4.474**	**8.290**	**6.044**	**9.658**	**12.082**	**13.757**
EPS (adjusted)(TWD)	**10.468**	**12.197**	**4.474**	**8.290**	**6.044**	**9.658**	**12.082**	**13.757**
EPS (adjusted fully-diluted)(TWD)	**10.399**	**12.160**	**4.467**	**8.271**	**6.032**	**9.635**	**12.039**	**13.708**
DPS (TWD)	**5.000**	**6.000**	**2.500**	**4.200**	**4.200**	**4.829**	**6.041**	**6.879**
EBIT	**1,552**	**1,630**	**722**	**789**	**1,048**	**1,339**	**1,638**	**1,879**
EBITDA	**2,165**	**2,281**	**1,398**	**1,524**	**1,697**	**1,952**	**2,304**	**2,588**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,570	1,829	709	1,234	951	1,398	1,735	1,975
Depreciation and amortisation	613	651	677	735	649	612	666	710
Tax paid	(367)	(424)	(194)	(278)	(254)	(287)	(347)	(395)
Change in working capital	(244)	(531)	317	(99)	(243)	(1,021)	(395)	(785)
Other operational CF items	3	4	0	0	1	0	0	0
Cash flow from operations	**1,575**	**1,530**	**1,509**	**1,591**	**1,103**	**703**	**1,658**	**1,505**
Capex	(957)	(824)	(650)	(289)	(202)	(1,000)	(700)	(700)
Net (acquisitions)/disposals	24	10	8	978	15	0	0	0
Other investing CF items	704	8	49	59	(148)	0	0	0
Cash flow from investing	**(229)**	**(806)**	**(593)**	**749**	**(335)**	**(1,000)**	**(700)**	**(700)**
Change in debt	(838)	293	(61)	(54)	(55)	(237)	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(461)	(576)	(691)	(288)	(484)	(484)	(556)	(694)
Other financing CF items	(64)	(27)	(41)	(85)	(64)	0	0	0
Cash flow from financing	**(1,363)**	**(309)**	**(793)**	**(426)**	**(604)**	**(721)**	**(556)**	**(694)**
Forex effect/others	(7)	16	(26)	87	(48)	0	0	0
Change in cash	**(24)**	**429**	**97**	**2,000**	**115**	**(1,018)**	**403**	**111**
Free cash flow	619	706	859	1,302	901	(297)	958	805

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	2,322	2,751	2,848	4,848	4,963	3,945	4,348	4,459
Inventory	1,927	1,918	1,884	1,879	1,847	2,554	2,524	3,176
Accounts receivable	2,349	2,922	2,125	2,357	2,510	3,146	3,499	3,923
Other current assets	447	357	349	362	634	629	629	629
Total current assets	**7,045**	**7,948**	**7,206**	**9,445**	**9,954**	**10,275**	**11,000**	**12,186**
Fixed assets	4,670	4,898	4,940	3,948	3,592	3,988	4,032	4,032
Goodwill & intangibles	15	11	13	10	8	8	8	8
Other non-current assets	616	602	603	502	352	351	351	351
Total assets	**12,346**	**13,460**	**12,763**	**13,905**	**13,906**	**14,622**	**15,391**	**16,578**
Short-term debt	2,115	2,409	2,348	2,294	2,239	2,002	2,002	2,002
Accounts payable	2,228	2,043	1,787	2,030	2,001	2,325	2,252	2,542
Other current liabilities	174	216	162	78	97	97	97	97
Total current liabilities	**4,517**	**4,668**	**4,297**	**4,402**	**4,337**	**4,423**	**4,350**	**4,641**
Long-term debt	0	0	0	0	0	0	0	0
Other non-current liabilities	549	603	536	662	611	611	611	611
Total liabilities	**5,066**	**5,271**	**4,832**	**5,064**	**4,947**	**5,034**	**4,961**	**5,252**
Share capital	1,152	1,152	1,152	1,152	1,152	1,150	1,149	1,149
Reserves/R.E./others	6,128	7,037	6,778	7,688	7,807	8,438	9,281	10,177
Shareholders' equity	**7,280**	**8,189**	**7,931**	**8,841**	**8,959**	**9,588**	**10,430**	**11,326**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**12,346**	**13,460**	**12,763**	**13,905**	**13,906**	**14,622**	**15,391**	**16,578**
EV	15,406	15,270	15,113	13,059	12,888	13,669	13,267	13,156
Net debt/(cash)	**(206)**	**(342)**	**(500)**	**(2,553)**	**(2,724)**	**(1,943)**	**(2,346)**	**(2,457)**
BVPS (TWD)	**63.351**	**71.069**	**68.828**	**76.727**	**77.753**	**83.343**	**90.794**	**98.597**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	23.1	4.8	(22.9)	8.0	1.7	20.0	15.6	12.6
EBITDA (YoY)	20.4	5.3	(38.7)	9.0	11.3	15.0	18.0	12.4
Operating profit (YoY)	32.0	5.0	(55.7)	9.4	32.7	27.9	22.3	14.7
Net profit (YoY)	79.0	16.8	(63.3)	85.3	(27.1)	59.6	24.9	13.9
Core EPS (fully-diluted) (YoY)	54.1	16.9	(63.3)	85.2	(27.1)	59.7	24.9	13.9
Gross-profit margin	27.6	27.1	21.7	20.3	23.1	24.0	24.3	24.5
EBITDA margin	24.6	24.7	19.6	19.8	21.7	20.8	21.2	21.2
Operating-profit margin	17.6	17.6	10.1	10.3	13.4	14.3	15.1	15.4
Net profit margin	13.6	15.2	7.2	12.4	8.9	11.8	12.8	12.9
ROAE	18.0	18.2	6.4	11.4	7.8	12.0	13.9	14.5
ROAA	9.8	10.9	3.9	7.2	5.0	7.8	9.2	9.9
ROCE	16.4	16.3	6.9	7.4	9.4	11.8	13.6	14.6
ROIC	16.6	16.8	6.9	8.9	12.3	15.3	16.7	17.7
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	23.4	23.2	27.3	22.6	26.8	20.5	20.0	20.0
Accounts receivable (days)	101.0	104.2	129.3	106.3	113.5	109.9	111.7	110.8
Current ratio (x)	1.6	1.7	1.7	2.1	2.3	2.3	2.5	2.6
Net interest cover (x)	88.1	108.0	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	47.8	49.2	55.9	50.7	69.5	50.0	50.0	50.0
Free cash flow yield	4.0	4.5	5.5	8.3	5.8	n.a.	6.1	5.2

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1987, Global PMX provides mechanical parts for automotive, medical equipment, and storage device components. Its major automotive clients include Continental, Bosch, BorgWarner, ZF, Hilite and Tesla. Other major clients are Seagate, Medtronic, and Zimmer.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	The CEO and Chairperson of PMX are not the same individual. The board includes 3 independent directors, including 1 female independent director. The Chairman has held this position at PMX for more than 20 years, indicating the company's strong management capability and leadership, in our view.
	Capital management	1	PMX's payout ratio was 80-90% before 2018, but dropped to 29-69% in 2019-25, which we attribute to its acquisitions over the past few of years (eg, merger with Sixxon in 2020). We view these acquisitions as reasonable capital management as PMX's product line expansion has led to lower risk exposure due to diversification, helping PMX's 2020-24 revenue to stay relatively intact.
	Related party & transaction	2	No major revenue from related-party transactions in 2020-25, and we observed no severe issues.
S	Product quality & safety	2	PMX holds numerous international product quality certifications, including ISO9002, QS9000 and ISO/TS16949, which help to regulate the production phases, from development to quality control and sales. Besides, products made by PMX are 100% compliant with laws/regulations and market expectations on health and safety, so we believe that product quality and safety concerns are not a high risk for PMX.
S	Materials sourcing & efficiency	2	Global PMX's supply conditions of raw materials (mainly copper and steel) are stable, and its suppliers are required to sign the company's Supplier Commitment Statement. Therefore, we believe materials sourcing and efficiency will be under control going forward.
S	Product design & lifecycle management	2	PMX has adopted strategies that avoid price competition by targeting production of higher value-added products (including auto, medical, semiconductor, and green energy products). Thus, we believe that PMX is continually improving its product lifecycle management.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 May 2026

Source: Daiwa, Company

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Rating	Percentage of total
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Source: Daiwa

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